

The price appreciation that year alone in many stocks, particularly those in which Ketan had an interest, was simply unbelievable. Pentafour, which was quoting at Rs 700 at the start of 1999, jumped to Rs 3,000 by the end of the year. The stock had risen nearly four-fold the previous year too. Zee shares climbed from around Rs 640 to nearly Rs 11,000, even after a near seven-fold rise the previous year. Somebody who had invested Rs 10,000 in Zee shares at the beginning of 1998 was now sitting on Rs 11 lakh! Global Telesystems shares rallied from Rs 74 to Rs 1,000 in a year, Himachal Futuristic Communications Limited (HFCL) from Rs 37 to Rs 700, Aftak Infosys from Rs 45 to over Rs 2,100, Ranbaxy from Rs 270 to nearly Rs 1,000 and Software Solutions from Rs 600 to Rs 2,200.

‘Radhakishan or Rakesh will never be able to take the prices of their favoured stocks to the dizzying levels that a Harshad or Ketan are capable of,’ GB remarked one evening, when we were discussing the trading styles of the top players.

‘Unlike Harshad and Ketan, RKD and Rakesh are not reckless. They know when to exit a stock as well as they know when to get into one. Also, Rakesh and RKD believe in the intrinsic worth of a stock and are convinced that no stock can sustain an artificial price beyond a point. That is not the case with Harshad and Ketan, who think that no price is too high for a stock, whatever its fundamentals,’ GB said.

But the meteoric rise in their share prices was not the only crazy feature of the new-economy companies. Barely a month after its NYSE listing, Satyam Computer’s subsidiary Sify paid an astounding \$28 million (Rs 122 crore at that time) for a 24.5 per cent stake in Indiaworld Communications. Promoted by IIT graduate Rajesh Jain, Indiaworld owned thirteen websites, including khel.com, bawarchi.com, khoj.com and samachar.com. The deal included purchase of the remaining 75.5 per cent stake in Indiaworld for \$75 million (Rs 325.4 crore), with Sify paying \$12 million (Rs 51.3 crore) for the option of buying that stake.

All this for a company with a turnover of Rs 1.3 crore and a net profit of Rs 25 lakh. The media and the market cheered the deal, but in private many suspected that the deal was just a front for siphoning out money from Sify. It was pointless to voice such doubts publicly. Loss-making Internet companies in the US were quoting at even more outrageous valuations, and there was nothing wrong in a profit-making company being bought for Rs 500 crore, argued many analysts.